

If you're in an indemnity plan, the rules are pretty simple. Once you meet the annual deductible, the insurer will pay 70% to 100% of your medical expenses. As with managed care plans, out-of-pocket limits put a ceiling on how much money you'll have to pay for health care in any given year, and maximum lifetime benefits put a ceiling on how much money the insurer will pay over the life of your policy.

If Your Employer Offers Health Insurance

Whether your employer lets you choose your health plan or not, you'll need to be smart about your coverage. Here are some suggestions:

- **Evaluate your managed care options carefully.** Some companies allow employees to choose between an HMO and a PPO or POS plan. (They might even offer an indemnity plan.) Though it might be tempting to go with the cheapest plan, there are some serious trade-offs to consider. Depending on which network you sign up for, you may have to wait several days, if not weeks, to see a specialist. You may find that your doctor is less apt to prescribe expensive lab tests than doctors you have visited in the past. As I mentioned earlier, you may have to get permission from your primary physician before you can see a specialist, such as an allergist or a cardiologist. In the case of HMOs, if you want to see an out-of-network physician, you will have to cover all or much of the cost yourself. And in the case of a high-deductible plan, you'll have to pay at least \$1,000 up front before the insurance kicks in at all. That gives you an incentive to avoid going to the doctor, which could cost you (and your health) more in the long run. (For more details on these plans, see the box on the following pages.) If your company offers different plans, speak to a few of your coworkers about their experiences before you make a decision. If you already have a regular doctor, find out if he or she belongs to any of the networks your company offers. If not, ask him or her to join. Finally, with premiums and expenses rising, don't assume